

ON THE EDGE – DECEMBER 2023

Following a dismal October that saw the averages briefly dip into correction territory, a V-shaped recovery took hold in the month of November as euphoria gripped equities on the possibility that the Fed was done with its rate hiking stance as yields retreated. The bulls assumed control early in the month as dovish Fed comments led to the DJIA stringing together a five-day win streak as it gained 1099.73 points (+3.4%) and broke above key moving average resistance levels at its 50 and 200-day moving average. Giving a boost to the market was the 10-year Treasury yield falling to 4.525% and the two-year T-Bill landing at 4.87%, while a dwindling US Dollar pulled back to a six-week low. From there, the major averages took a breather and traded in a narrow range following Fed Chair Powell's remarks that he was not confident that the Fed had reached a sufficiently restrictive stance to rein in inflation. Towards the back half of the month, Wall Street stocks were on the move again as key data reports showed inflation cooled more than anticipated. The October Consumer Price Index (CPI) came in flat from the previous month while core-CPI rose +0.2% with YoY data up +4.1%, ringing a two-year low. The major averages responded by gapping higher with the S&P 500 and NASDAQ surging on 7 of 10 sessions, and the DJIA jumping on 8 of 10 sessions. With euphoria building that the Fed's next move would be a rate cut in Q1, Cleveland Fed President Loretta Mester kept a lid on the rally suggesting that rate cuts may be premature. However, strong Q3 earnings from big-box retail outfits like Home Depot (HD), Target (TGT) and Macy's (M) kept the party going with the rally broadening across all sectors. Crude oil prices moved lower throughout the month as demand concerns from slower growth and increased output from non-OPEC countries weighed on prices. By the end of the period, the major averages grew winded and were overdue for some consolidation with the Market Edge/S&P Short Range Oscillator (SRO) recording a 7.27% figure which historically leads to some consolidation in the short-term. A surprise revision up of Q3 GDP coupled with record holiday consumer spending following the holiday week however, created a goldilocks scenario where the economy continued to expand while inflation continued to cool. Adding to that scenario was the Fed's preferred inflation gauge, the core-Personal Consumption Expenditures (PCE) rising +0.2%, which further supported the thesis of a 'soft landing' for the economy. Equities raced higher with Dow components displaying new leadership while tech stocks took a back seat. The yield on the 10-year Treasury settled at 4.37% as November ended, while the two-year T-Bill landed at 4.68%, levels last seen around July. The only market sector to settle in the red for the period was Energy (XLE), while Real Estate (XLRE), Technology (XLK), Financials (XLF) and Consumer Discretionary posted double-digit gains during the month. The DJIA notched its best month since October 2022 while ending the period at a new 52-week high as it gained 2898.02 points (+8.77%) and settled at 35950.89. The S&P 500 posted its best month since July 2022 as it surged 374.00 points (+8.92%) and closed at 4567.80. The DJ Transportation index rally stalled towards the back half of the period but still managed to gain 1122.74 points (+8.08%) and landed at 15018.51.

Large market cap weighted indexes such as the NASDAQ and NDX 100 rallied off their respective 200-day MA and had a parabolic move higher before taking a breather and settling at the July highs. The 'magnificent seven' took a backseat to new leadership from the likes of Pinduoduo (PDD), CrowdStrike (CRWD), Intel (INTC) and Zscaler (ZS), which were all up better than +26% for the month. The Philadelphia Semiconductor Index (SOX) rebounded from a weak October as it gained +15.8% during the month, led by gains from Intel (INTC), Advanced Micro Devices (AMD) and Qualcomm (QCOM), each up better than +12%. The Biotechnology ETF (IBB) rallied higher during the period and rose by 6.4% while breaking out above its 50-day MA, led by gains from Amgen (AMGN), Seattle Genetics (SGEN) and Vertex Pharmaceuticals (VRTX). The NASDAQ snapped its own three-month losing streak and soared by 1374.98 points (+10.7%) before settling at 14226.22. The NASDAQ is now up nearly 36% for the year. The small cap Russell 2000 also got off the mat as it climbed 146.74 points (+8.83%) while settling at 1809.02.

Market Outlook

The technical condition of the market improved in November as the major averages were able to post positive for the first time in three months. The rally, however, took the market from oversold to overbought. Stochastics are in the mid-90's and the 9-day RSI ended the month in the mid-70's, the most overbought since the market's July peak. The Market Edge/S&P Short Range Oscillator (SRO), the most reliable overbought/oversold indicator, closed the month at 5.65%. A print above 7% has historically led to some profit taking. MACD, a short-term trend gauge, is bullish and crossed to a buy signal on the weekly charts for the major averages. Momentum, as measured by the 14-day RSI, is strong, but slowing for the NASDAQ. The secondary index charts which include the DJ Transportation Index, small cap Russell 2000 and Philadelphia Semiconductor Index remain bullish with the Russell 2000 breaking through resistance at its 200-day MA this month. The Philadelphia Semiconductor Index pulled back from overbought territory after surging more than +21% since its October low! The market rally has broadened out with every sector positive minus Energy (XLE), but more bullish is that the equal-weight S&P 500 ETF (RSP) has outperformed the NASDAQ 100 ETF (QQQ), which contains the 'Magnificent Seven', off the October lows.

Underlying breadth improved this month with the NYSE and NASDAQ Advance/Decline lines moving higher showing more stocks participating in the rally. In addition, new 52-week highs outnumbered the new lows on the NYSE for the first time since early August, but new lows continue to outpace new highs on the NASDAQ. Investor sentiment, however, may be getting too bullish and bears watching. The American Association of Individual Investors (AAII) shows retail bulls outnumber the bears 2.5:1, the biggest disparity since July and retail bears fell to 21.4%, a six-year low. The professionals also added to equities with the National Association of Active Investment Managers (NAAIM) Exposure Index at 81.4%, up from 24.8% just five-weeks ago.

While some consolidation may be in order after four-weeks of gains, the technical condition of the market remains bullish. The Bears look ready for early hibernation but could be jarred awake if stronger than expected economic data leads to a bump in inflation and higher rates. As has been the case for the last few months, a move in the 10-year Treasury yield back above 4.55-4.65% would likely stall the market's advance and reawaken recession fears. For now, equities are trading as if the Fed has ended its tightening policy and navigated a soft landing. Just don't take your eye off that yield curve while you are looking for Santa!

Cyclical Trend Index (CTI): Neutral

Presently the CTI is Negative at -1, down three notches from the previous month. The counts for Cycles A, D and E are bearish, while Cycles B & C are bullish.

Cycle	Average # Of Weeks In The Cycle	# Of Weeks Since Previous Bottom	Bullish Or Bearish Connotation
A	6 + or -1 Week	5 Weeks	Bearish
B	18 + or -2 Weeks	5 Weeks	Bullish
C	36 + or -4 Weeks	27 Weeks	Bullish
D	72 + or -7 Weeks	59 Weeks	Bearish
E	216 + or -20 Weeks	192 Weeks	Bearish

The following are projected CTI readings through the week ending 12/29/23.

Week Ending	CTI	Connotation
12/01/23 (Actual)	-1	Neutral
12/08/23 (Projected)	-3	Bearish
12/15/23 (Projected)	-3	Bearish
12/22/23 (Projected)	-3	Bearish
12/29/23 (Projected)	-6	Bearish

**** The CTI is the total of the plus and minus values assigned to each cycle based on the number of weeks that have passed since their previous cyclical bottom. For a detailed explanation of the market timing models, click on "Market Letter Help" located on the top of the 'Market Letter'.**

Market Posture Performance 2020-2023

The following is the performance record of the Market Edge 'Market Posture' for 2020 - 2023.

Projected Strong Periods:		Actual Results – DJIA
02/14/20 - 02/28/20 (29398.08 – 25409.36)	DJIA Gain/Loss	-3988.72
04/09/20 - 05/08/20 (23719.37 – 24331.32)	DJIA Gain/Loss	+611.95
05/29/20 - 10/23/20 (25383.11 – 28335.11)	DJIA Gain/Loss	+2952.00
11/13/20 - 05/28/21 (29479.81 – 34529.45)	DJIA Gain/Loss	+5049.62
07/30/21 - 01/14/22 (34935.47 – 35911.81)	DJIA Gain/Loss	+976.34
03/18/22 - 04/29/22 (34754.93 – 32977.21)	DJIA Gain/Loss	-1,777.72
05/27/22 - 06/10/22 (33212.96 – 31392.79)	DJIA Gain/Loss	-1820.17
10/28/22 - 01/13/23 (32861.80 – 34302.61)	DJIA Gain/Loss	+1440.81

03/24/23 - 05/05/23 (32237.53 – 33674.38)	DJIA Gain/Loss	+1436.85
07/21/23 - 08/18/23 (35227.69 – 34500.66)	DJIA Gain/Loss	-727.03
10/13/23 -12/01/23 (33670.29 – 36245.50)	DJIA Gain/Loss	2575.21

Projected Weak Periods:		Actual Results – DJIA
01/03/20 - 02/14/20 (28634.88 – 29398.08)	DJIA Gain/Loss	763.20
06/18/21 - 07/30/21 (33290.08 – 34935.47)	DJIA Gain/Loss	1645.39
08/26/22 - 10/21/22 (32283.40 – 31082.56)	DJIA Gain/Loss	-1200.84
05/26/23 - 07/14/23 (33093.34 – 34509.03)	DJIA Gain/Loss	1415.69
08/18/23 - 10/13/23 (34500.66 – 33670.29)	DJIA Gain/Loss	-830.37

While the CTI is projected as either a Bullish or Bearish connotation, at times mixed readings from several indicators related to the CTI will result in a Neutral Market Posture. The dates not presented in the above tables were periods where the Market Posture was Neutral.

Momentum Index: Neutral

As of the close on 11/24/23, the Momentum Index is Neutral at +3, up nine notches from the previous month. The Momentum Index is a gauge of bullish or bearish divergence in the market. Readings of +04 and higher are regarded as bullish signaling stronger performance from the majority of the broader indexes vs. the DJIA. Conversely, readings of -04 or lower are regarded as bearish. Below is a chart of the performance of seven of the major, broad market indexes included in the Momentum Index vs. the DJIA since the last major cyclical low.

Prev. Highs	DJIA	DJTA	S&P 500	NYSE	R-2000	NASDAQ	UTIL	A/D LINE
Nov. 2023	35950.89	15094.20	4567.80	16088.84	1809.02	14281.76	867.83	514580
11/30/2023	35950.89	15018.51	4567.80	16088.84	1809.02	14226.22	866.76	514580
%Change	0.0%	-0.5%	0.0%	0.0%	0.0%	-0.4%	-0.1%	-0.0%

Average % Change of the Broad Market Indices: -0.2%

The broader market indexes are down on average -0.2% from their November 2023 closing highs vs. 0.0% for the DJIA resulting in a Positive +4 reading. Breadth was positive during the month at the NYSE as the Advance/Decline Line increased by 9235 units vs. a decrease of 5643 units in October while the number of new 52-week highs topped the new lows on 15 out of 21 sessions. However, breadth at the NASDAQ was mixed as the A/D line was higher by 6326 units vs. a decrease of 10738 units in October, while the number of new lows surpassed the new highs on 16 out of 21 sessions. Finally, the percentage of stocks above their 50-day moving average surged to 68.7% from 17.7% while those above their 200-day moving average increased to 47.3% vs. 25.1% from the previous month. Readings above 70.0% denote an overbought condition.

Sentiment Index: Negative

The Sentiment Index for the month ending 11/24/23 is Negative at -4, down five notches with the previous month. The Sentiment Index tracks thirteen market indicators that measure excessive bullish or bearish conditions prevalent in the market. Whenever the crowd becomes overly optimistic (a bearish condition), the readings from the Sentiment Index will drop into negative ground. Conversely, when fear is rampant (a bullish condition), the index will be in the +3 to +8 area.

NYSE short interest was up +0.3% and 2.6 days of average volume for the period ending 11/15/23 vs. being up +0.1% and 2.4 days average volume to cover at the end of October. Short interest at the NASDAQ was up +1.1% and 2.8 days of average volume to cover mid-November vs. a +1.6% increase and 2.7 days average volume to cover on 10/31/23. The Bullish-Bearish Investment Advisors Ratio (2.6 vs.2.1), the Fear and Greed Index (65.6 vs. 61.2), the Total Put/Call Ratio (1.00 vs. 1.00), the Percentage of Bearish Investment Advisors (21.4% vs. 24.3%) and the NAAIM Exposure Index (81.4 vs. 24.8) are Neutral. The VIX, a measurement of fear in the market (12.92 vs. 21.27), the Percentage of Bullish Investment Advisors (55.7% vs. 50.0%), the Dividend Yield Spread (-2.07 vs. -3.00) and the AAI Bull-Bear Ratio (2.5 vs. 0.7) is Bearish. VIX readings under 13.00 are regarded as bearish while those above 30.0 are bullish.

**To view the charts and graphs of the major market indexes and pertinent technical indicators that are incorporated in the Momentum and Sentiment indexes go to the Market-At-A-Glance section located under Market Recap on the Market Edge home page.

Market Posture: Neutral

Based on the status of the Market Edge, market timing models, the 'Market Posture' is Neutral as of the week ending 12/01/2023 (DJIA – 36245.50).

For a closer look at the technical indicators and studies that make up the market timing models, check out the 'Market Letter (Weekly)' located on the Market Edge home page. (www.marketedge.com).

Take a look at the new 'Dr. Market Edge Talks Stocks' section located on the Markets or Home Page. Every Tuesday, the good Doctor reviews three stocks that have recently been in the news. These articles will help you evaluate stocks when viewing Smart Charts and the Second Opinion reports.

ETF Center: The top performing ETF categories for the period ending 11/30/23 were: Commodity-Precious Metals, Specialty Financial, Sector-Basic Materials, Specialty Real Estate and Bond-Corporate Invest Grade. The weakest categories were: Commodity-Energy, Shorts, Specialty Communications, Sector-Telecom and Commodity-Blend. To review all the categories in the Market Edge universe, click on the ETFs tab.

Industry Group Rankings: What's Hot (80) – What's Not (11)

Of the 91 Industry Groups that we track, 80 are rated as either Strong or Improving while 11 are regarded as Weak or Deteriorating. The previous month's totals were 19-72. The following are the strongest and weakest groups for the period ending 11/30/23. Strongest: Footwear, Retailers, Apparel, Paper Products and Home Construction. Weakest: Toys, Pipelines, Food and Media-Cable Broadcasting. To review all the Industry Group rankings, click on the Industries tab.